

UNIT 2: INDIAN ACCOUNTING STANDARD 34: INTERIM FINANCIAL REPORTING

LEARNING OUTCOMES

After studying this unit, you will be able to:

- ☐ State the objective and scope of Ind AS 34
- ☐ Define the relevant terms used in the standard
- ☐ Elaborate the contents of interim financial report
- ☐ Prescribe minimum content of Interim Financial Report
- ☐ Account for the significant events and transactions while preparing the interim financial report
- ☐ Recommend principles of recognition and measurement in complete or condensed financial statement for an interim period
- ☐ Prepare the interim financial report of an entity
- ☐ Differentiate between Ind AS 34 and AS 25.

UNIT OVERVIEW



Contents of an Interim Financial

Minimum
Components of
Interim

Significant
Events and

Other
Disclosures

Material

Recognition and

Same
Accounting
Policies as
Annual

Revenues
Received
Seasonally
, or
Cyclically,

Costs
Unevenly
during
the Financial Year

Use of

Restatement of Previously Reported

Disclosure in
Annual Financial

Interim
Financial
Reporting



2.1 INTRODUCTION

Interim Financial Reporting applies when an entity prepares an interim financial report. Ind AS 34 does not mandate an entity as when to prepare such a report. Timely and reliable interim financial reporting improves the ability of investors, creditors, lenders and others to understand an entity's capacity to generate earnings and cash flows and its financial condition and liquidity. Permitting less information to be reported than in annual financial statements (on the basis of providing an update to those financial statements), the standard outlines the



2.2 OBJECTIVE

recognition, measurement and disclosure requirements for interim reports.

The objective of this Standard is to prescribe

- a) the minimum content of an interim financial report
- b) the principles for recognition and measurement in complete or condensed financial statements for an interim period.



2.3 SCOPE

- This Standard does not mandate which entities should be required to publish interim financial reports, how frequently, or how soon after the end of an interim period.
- This Standard applies if an entity is required or elects to publish an interim financial report in accordance with Indian Accounting Standards (Ind AS).
- Each financial report, annual or interim, is evaluated on its own for conformity to Ind AS. The fact that an entity may not have provided interim financial reports during a particular financial year or may have provided interim financial reports that do not comply with this Standard does not prevent the entity's annual financial statements from conforming to Ind AS if they otherwise do so.
- If an entity's interim financial report is described as complying with Ind AS, it must comply with all of the requirements of this Standard.



2.4 DEFINITIONS

1. **Interim period** is a financial reporting period shorter than a full financial year.
2. **Interim financial report** means a financial report containing either a complete set of financial statements (as described in Ind AS 1, Presentation of Financial Statements), or a set of condensed financial statements (as described in this



2.5 CONTENTS OF AN INTERIM FINANCIAL

Standard) for an interim period.

- An Interim Financial Report shall include, at minimum, the following:

A condensed balance sheet

A condensed statement of profit and loss

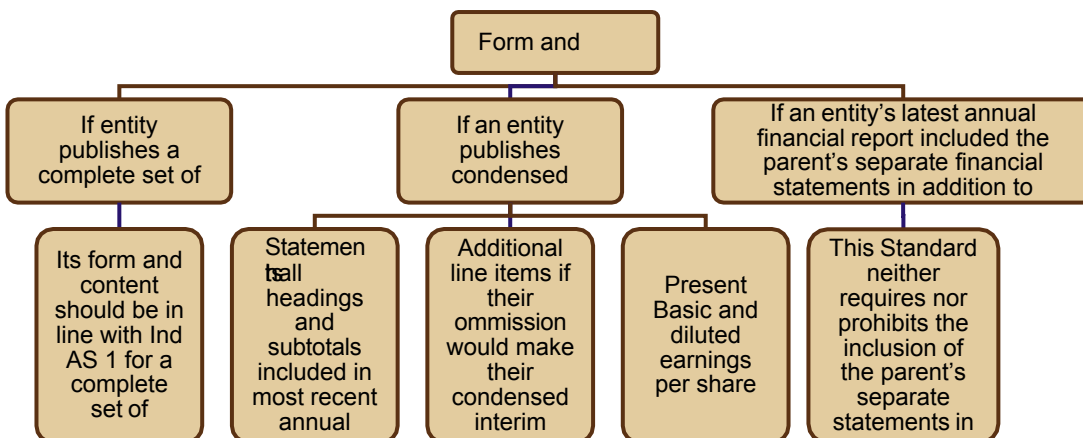
A condensed statement of changes in equity

A condensed statement of cash flows

Notes, material accounting policy information and other explanatory information

- In the interest of timeliness and cost considerations and to avoid repetition of information previously reported, an entity may be required to or may elect to provide less information at interim dates as compared with its annual financial statements.
- The interim financial report focuses on new activities, events, and circumstances and does not duplicate information previously reported.
- Nothing in this Standard is intended to prohibit or discourage an entity from publishing a complete set of financial statements (as described in Ind AS 1) in its interim financial report, rather than condensed financial statements and selected explanatory notes. Nor does this Standard prohibit or discourage an entity from including in condensed interim financial statements more than the minimum line items or selected explanatory notes asset out in this Standard.

2.5.1 Form and Content of Interim financial report



2.5.2 Significant events and transactions

- An entity shall include in its interim financial report an explanation of events and transactions that are significant to an understanding of the changes in financial position and performance of the entity since the end of the last annual reporting period.
- Information disclosed in relation to those events and transactions shall update the relevant information presented in the most recent annual financial report.
- A user of an entity's interim financial report will have access to the most recent annual financial report of that entity. Therefore, it is unnecessary for the notes to an interim financial report to provide relatively insignificant updates to the information that was reported in the notes in the most recent annual financial report.

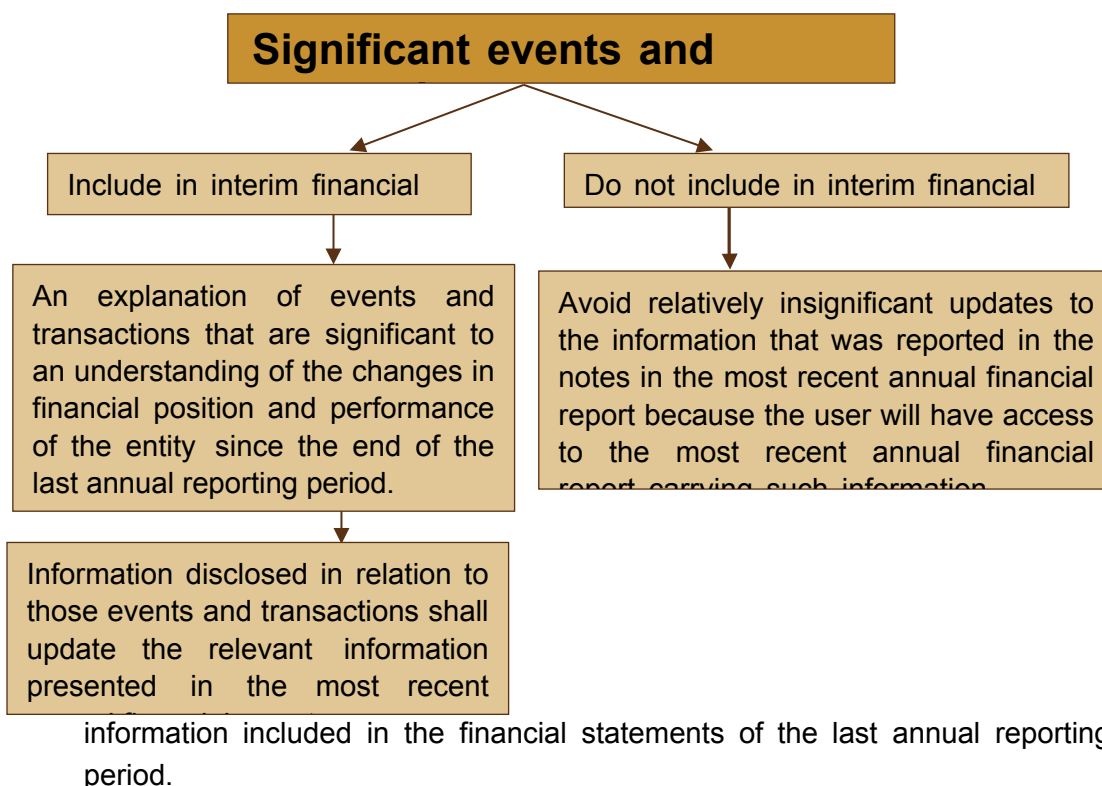
The following is a list of events and transactions for which disclosures would be required if they are significant: (The below list is not exhaustive)

1. the write-down of inventories to net realisable value and the reversal of such write- down;
2. recognition of a loss from the impairment of financial assets, property, plant and equipment, intangible assets, assets arising from contracts with customers, or other assets, and the reversal of such an impairment loss;
3. the reversal of any provisions for the costs of restructuring;
4. acquisitions and disposals of items of property, plant and equipment;

5. commitments for the purchase of property, plant and equipment;

6. litigation settlements;
7. corrections of prior period errors;
8. changes in the business or economic circumstances that affect the fair value of the entity's financial assets and financial liabilities, whether those assets or liabilities are recognised at fair value or amortised cost;
9. any loan default or breach of a loan agreement that has not been remedied on or before the end of the reporting period;
10. related party transactions;
11. transfers between levels of the fair value hierarchy used in measuring the fair value of financial instruments;
12. changes in the classification of financial assets as a result of a change in the purpose or use of those assets; and
13. changes in contingent liabilities or contingent assets.

- Individual Ind AS provide guidance regarding disclosure requirements for many of the items listed above. When an event or transaction is significant to an understanding of the changes in an entity's financial position or performance since the last annual reporting period, its interim financial report should provide an explanation of and an update to the relevant



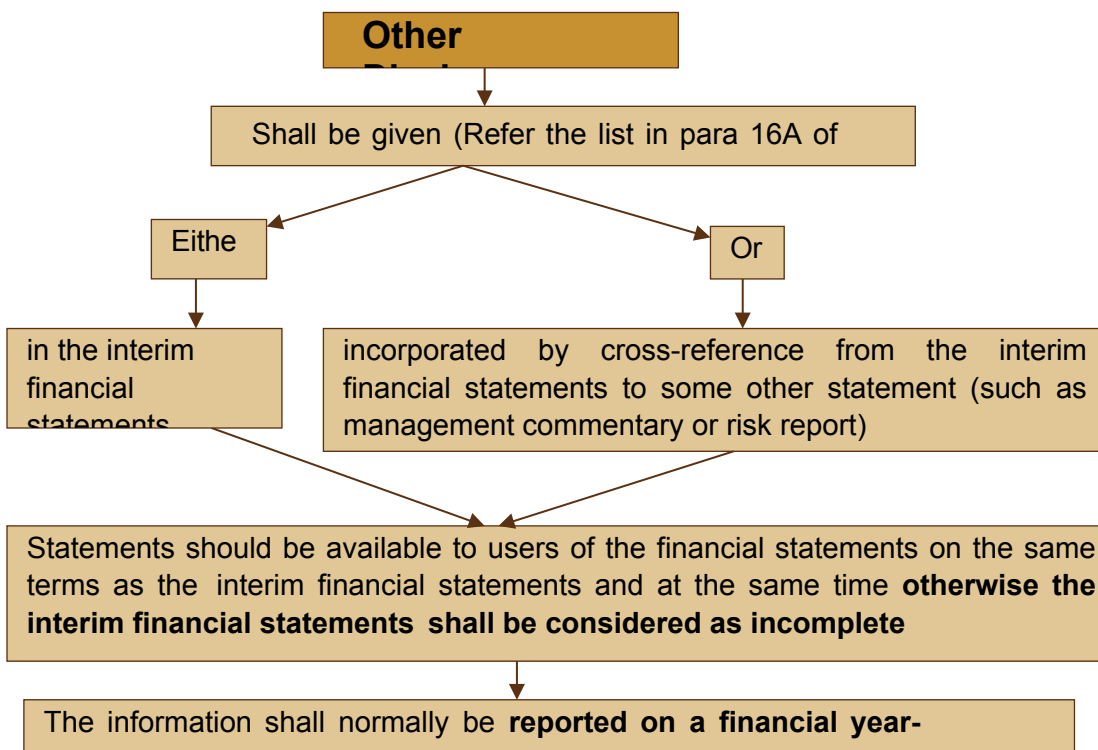
2.5.3 Other disclosures

The information shall normally be reported on a financial year-to-date basis. In addition to disclosing significant events and transactions, an entity shall include the following information, in the notes to its interim financial statements. The following disclosures shall be given either in the interim financial statements or incorporated by cross-reference from the interim financial statements to some other statement (such as management commentary or risk report) that is available to users of the financial statements on the same terms as the interim financial statements and at the same time. If users of the financial statements do not have access to the information incorporated by cross-reference on the same terms and at the same time, the interim financial report is incomplete.

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| a) | a statement that the same accounting policies and methods of computation are followed in the interim financial statements. If those recently used policies or methods have been changed, a description of the nature and effect of the change should also be given. |
| b) | explanatory comments about the seasonality or cyclicity of interim operations. |
| c) | the nature and amount of items affecting assets, liabilities, equity, net income or cash flows that are unusual because of their nature, size or incidence. |
| d) | the nature and amount of changes in estimates of amounts reported in prior interim periods of the current financial year or changes in estimates of amounts reported in prior financial years. |
| e) | issues, repurchases and repayments of debt and equity securities. |
| f) | dividends paid (aggregate or per share) separately for ordinary shares and other shares. |

- g) the following segment information (disclosure of segment information is required in an entity's interim financial report only if Ind AS 108, *Operating Segments*, requires that entity to disclose segment information in its annual financial statements):
- i. revenues from external customers, if included in the measure of segment profit or loss reviewed by the chief operating decision maker or otherwise regularly provided to the chief operating decision maker.
 - ii. inter segment revenues, if included in the measure of segment profit or loss reviewed by the chief operating decision maker or otherwise regularly provided to the chief operating decision maker.
 - iii. a measure of segment profit or loss.
 - iv. a measure of total assets and liabilities for a particular reportable segment if such amounts are regularly provided to the chief operating decision maker and if there has been a material change from the amount disclosed in the last annual financial statements for that reportable segment.
 - v. a description of differences from the last annual financial statements in the basis of segmentation or in the basis of measurement of segment profit or loss.

vi.	a reconciliation of the total of the reportable segments' measures of profit or loss to the entity's profit or loss before tax expense (tax income) and discontinued operations. However, if an entity allocates to reportable segments items such as tax expense (tax income), the entity may reconcile the total of the segments' measures of profit or loss to profit or loss after those items. Material reconciling items shall be separately identified and described in that reconciliation.
h)	events after the interim period that have not been reflected in the financial statements for the interim period.
i)	the effect of changes in the composition of the entity during the interim period, including business combinations, obtaining or losing control of subsidiaries and long-term investments, restructurings, and discontinued operations. In the case of business combinations, the entity shall disclose the information required by Ind AS 103, <i>Business Combinations</i> .
j)	for financial instruments, the disclosures about fair value of Ind AS 113, <i>Fair Value Measurement</i> , and Ind AS 107, <i>Financial Instruments: Disclosures</i> .
k)	for entities becoming, or ceasing to be, investment entities, as defined in Ind AS 110, <i>Consolidated Financial Statements</i> , the disclosures in Ind AS 112, <i>Disclosure of Interests in Other Entities</i> .
l)	the disaggregation of revenue from contracts with customers required by Ind AS 115, <i>Revenue from Contracts with Customers</i> .

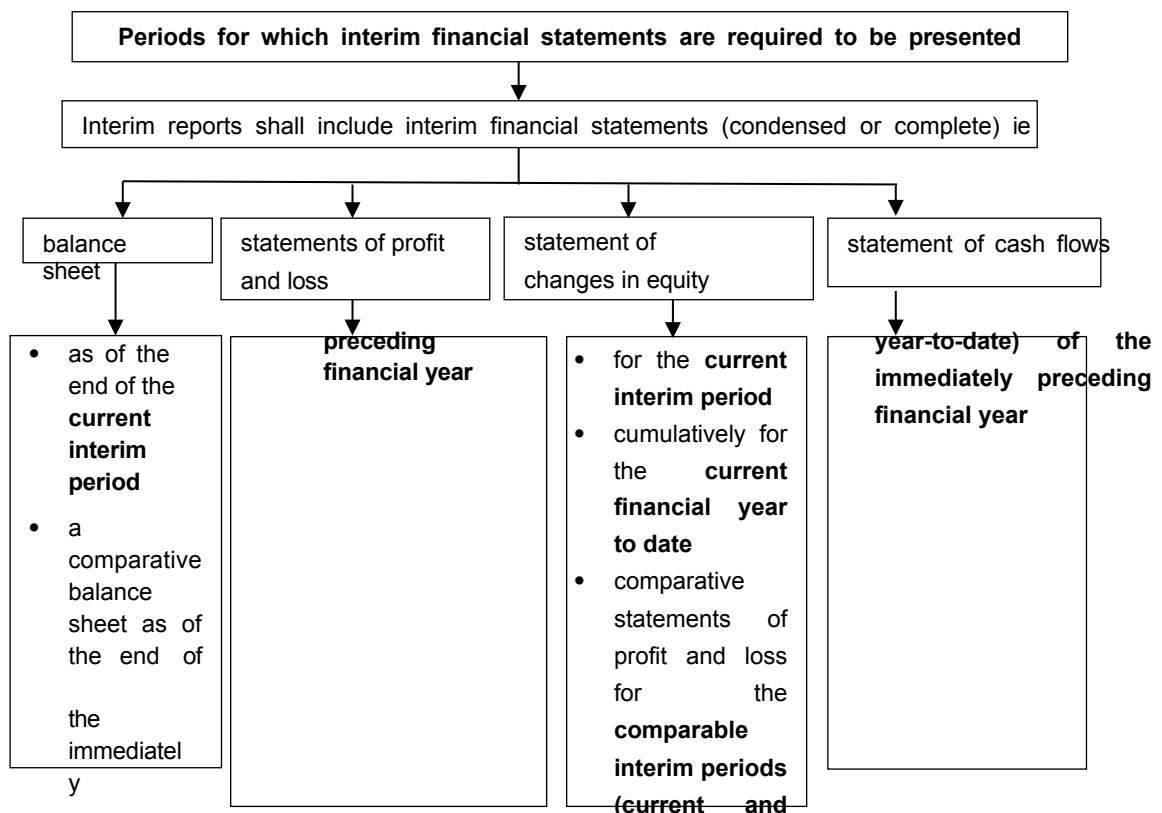


2.5.4 Periods for which interim financial statements are required to be presented

Interim reports shall include interim financial statements (condensed or complete) for periods as follows:

- balance sheet as of the end of the current interim period and a comparative balance sheet as of the end of the immediately preceding financial year.
- statements of profit and loss for the current interim period and cumulatively for the current financial year to date, with comparative statements of profit and loss for the comparable interim periods (current and year-to-date) of the immediately preceding financial year.
- statement of changes in equity cumulatively for the current financial year to date, with a comparative statement for the comparable year-to-date period of the immediately preceding financial year.
- statement of cash flows cumulatively for the current financial year to date, with a comparative statement for the comparable year-to-date period of the immediately preceding financial year.

For an entity whose business is highly seasonal, financial information for the twelve months up to the end of the interim period and comparative information for the prior twelve-month period may be useful.



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Note: For an entity whose business is highly seasonal, financial information for the twelve months up to the end of the interim period and comparative information for the prior twelve-

Following is the illustrative example to understand the periods for which interim financial statements are required to be presented.

Scenario (a) Entity publishes interim financial reports half-yearly

The entity's financial year ends 31 March (Financial year). The entity will present the following financial statements (condensed or complete) in its half-yearly interim financial report as of 30 September 20X2:

Name of the component	Current period	Comparative period
Balance sheet as at	30 September 20X2	31 March 20X2
Statement of profit and loss : 6 months ending	30 September 20X2	30 September 20X1
Statement of cash flows: 6 months ending	30 September 20X2	30 September 20X1
Statement of changes in equity: 6 months ending	30 September 20X2	30 September 20X1

Scenario (b) Entity publishes interim financial reports quarterly

The entity's financial year ends 31 March (Financial year). The entity will present the following financial statements (condensed or complete) in its quarterly interim financial report as of 30 September 20X2:

Name of the component	Current periods	Comparative periods
Balance sheet as at	30 September 20X2	31 March 20X2
Statement of profit and loss: 6 months ending; and 3 months ending	30 September 20X2; and 30 September 20X2	30 September 20X1; and 30 September 20X1
Statement of cash flows: 6 months ending	30 September 20X2	30 September 20X1
Statement of changes in equity: 6 months ending	30 September 20X2	30 September 20X1

2.5.5 Materiality

- In deciding how to recognise, measure, classify, or disclose an item for interim financial reporting purposes, materiality shall be assessed in relation to the interim period financial data.
- In making assessments of materiality, it shall be recognised that interim measurements may rely on estimates to a greater extent than measurements of annual financial data.
- While judgement is always required in assessing materiality, this Standard bases the recognition and disclosure decision on data for the interim period by itself for reasons of understandability of the interim figures.
- Unusual items, changes in accounting policies or estimates, and errors are recognised and disclosed on the basis of materiality in relation to interim period data to avoid misleading inferences that might result from non-disclosure.



2.6 DISCLOSURE IN ANNUAL FINANCIAL

- If an estimate of an amount reported in an interim period is changed significantly during the final interim period of the financial year but a separate financial report is not published for that final interim period, the nature and amount of that change in estimate shall be disclosed in a note to the annual financial statements for that financial year.
- Ind AS 8 requires disclosure of the nature and (if practicable) the amount of a change in estimate that either has a material effect in the current period or is expected to have a material effect in subsequent periods.
- An entity is not required to include additional interim period financial information in its annual financial statements.



2.7 RECOGNITION AND MEASUREMENT

S. No.	Criteria	Recognition and Measurement
1	Same accounting policies as annual	1. An entity shall apply the same accounting policies in its interim financial statements as are applied in its annual financial statements, except for accounting policy changes made after the date of the most recent annual financial statements that are to be reflected in the next annual financial statements.

		2. The frequency of an entity's reporting (annual, half-yearly, or quarterly) shall not affect the measurement of its annual results. To achieve that objective, measurements for interim reporting purposes shall be made on a year-to-date basis. 3. Year-to-date measurements may involve changes in estimates of amounts reported in prior interim periods of the current financial year. But the principles for recognising assets, liabilities, income, and expenses for interim periods are the same as in annual financial statements.
2	Revenues received cyclically, occasionally or seasonally	1. Revenues that are received seasonally, cyclically, or occasionally within a financial year shall not be anticipated or deferred as of an interim date if anticipation or deferral would not be appropriate at the end of the entity's financial year. Example: Dividend revenue, royalties, and government grants. 2. Certain entities earn more revenue in certain interim periods of a financial year than other interim periods. Such revenues are recognised when they occur. Example: seasonal revenues of retailers
3	Costs incurred unevenly during the financial year	Costs that are incurred unevenly during an entity's financial year shall be anticipated or deferred for interim reporting purposes if, and only if, it is also appropriate to anticipate or defer that type of cost at the end of the financial year.
4	Use of estimates	1. To ensure that the resulting information is reliable and that all material financial information that is relevant to an understanding of the financial position or performance of the entity is appropriately disclosed. 2. The preparation of interim financial reports requires a greater use of estimation methods than annual financial reports.

Employer payroll taxes and insurance contributions

If employer payroll taxes or contributions to government-sponsored insurance funds are assessed on an annual basis, the employer's related expense is recognised in interim periods using an estimated average annual effective payroll tax or contribution rate, even though a large portion of the payments may be made early in the financial year. A common example is an employer payroll

employee. For higher income employees, the maximum income is reached before the end of the financial year, and the employer makes no further payments through the end of the year.

Major planned periodic maintenance or overhaul

The cost of a planned major periodic maintenance or overhaul or other seasonal expenditure that is expected to occur late in the year is not anticipated for interim reporting purposes unless an event has caused the entity to have a legal or constructive obligation. The mere intention or necessity to incur expenditure related to the future is not sufficient to give rise to an obligation.

Provisions

A provision is recognised when an entity has no realistic alternative but to make a transfer of economic benefits as a result of an event that has created a legal or constructive obligation. The amount of the obligation is adjusted upward or downward, with a corresponding loss or gain recognised in profit or loss, if the entity's best estimate of the amount of the obligation changes.

This Standard requires that an entity apply the same criteria for recognising and measuring a provision at an interim date as it would at the end of its financial year. The existence or non-existence of an obligation to transfer benefits is not a function of the length of the reporting period. It is a question of fact.

Year-end bonuses

The nature of year-end bonuses varies widely. Some are earned simply by continued employment during a time period. Some bonuses are earned based on a monthly, quarterly, or annual measure of operating result. They may be purely discretionary, contractual, or based on years of historical precedent.

A bonus is anticipated for interim reporting purposes if, and only if, (a) the bonus is a legal obligation or past practice would make the bonus a constructive obligation for which the entity has no realistic alternative but to make the payments, and (b) a reliable estimate of the obligation can be made. Ind AS 19, *Employee Benefits* provides guidance.

Variable lease payments

Contingent lease payments can be an example of a legal or constructive obligation that is recognised as a liability. If a lease provides for contingent payments based on the lessee achieving a certain level of annual sales, an obligation can arise in the interim periods of the financial year before the

required annual level of sales has been achieved, if that required level of sales is expected to be achieved and the entity, therefore, has no realistic alternative but to make the future lease payment.

Intangible assets

An entity will apply the definition and recognition criteria for an intangible asset in the same way in an interim period as in an annual period. Costs incurred before the recognition criteria for an intangible asset are met, are recognised as an expense. Costs incurred after the specific point in time at which the criteria are met are recognised as part of the cost of an intangible asset. 'Deferring' costs as assets in an interim balance sheet in the hope that the recognition criteria will be met later in the financial year is not justified.

Vacations, holidays, and other short-term compensated absences

Accumulating compensated absences are those that are carried forward and can be used in future periods if the current period's entitlement is not used in full. Ind AS 19, *Employee Benefits* requires that an entity measure the expected cost of an obligation for accumulating compensated absences at the amount the entity expects to pay as a result of the unused entitlement that has accumulated at the end of the reporting period. That principle is also applied at the end of interim financial reporting periods. Conversely, an entity recognises no expense or liability for non-accumulating compensated absences at the end of an interim reporting period, just as it recognises none at the end of an annual reporting period.

Other planned but irregularly occurring costs

An entity's budget may include certain costs expected to be incurred irregularly during the financial year, such as charitable contributions and employee training costs. Those costs generally are discretionary even though they are planned and tend to recur from year to year. Recognising an obligation at the end of an interim financial reporting period for such costs that have not yet been incurred generally is not consistent with the definition of a liability.

Measuring interim income tax expense

Interim period income tax expense is accrued using the tax rate that would be applicable to expected total annual earnings, that is, the estimated average annual effective income tax rate applied to the pre-tax income of the interim period.

This is consistent with the basic concept set out in the Standard that the same accounting recognition and measurement principles shall be applied in an interim financial report as are applied in annual financial statements. Income taxes are assessed on an annual basis. Interim period income tax expense is calculated by applying to an interim period's pre-tax income the tax rate that would be

applicable to expected total annual earnings, that is, the estimated average annual effective income tax rate. That estimated average annual rate would reflect a blend of the

progressive tax rate structure expected to be applicable to the full year's earnings including enacted or substantively enacted changes in the income tax rates scheduled to take effect later in the financial year. Ind AS 12, *Income Taxes* provides guidance on substantively enacted changes in tax rates. The estimated average annual income tax rate would be re-estimated on a year-to-date basis, consistent with paragraph 28 of this Standard. The Standard requires disclosure of a significant change in estimate.

To the extent practicable, a separate estimated average annual effective income tax rate is determined for each taxing jurisdiction and applied individually to the interim period pre-tax income of each jurisdiction. Similarly, if different income tax rates apply to different categories of income (such as capital gains or income earned in particular industries), to the extent practicable a separate rate is applied to each individual category of interim period pre-tax income. While that degree of precision is desirable, it may not be achievable in all cases, and a weighted average of rates across jurisdictions or across categories of income is used if it is a reasonable approximation of the effect of using more specific rates.

Contractual or anticipated purchase price changes

Volume rebates or discounts and other contractual changes in the prices of raw materials, labour, or other purchased goods and services are anticipated in interim periods, by both the payer and the recipient, if it is probable that they have been earned or will take effect. Thus, contractual rebates and discounts are anticipated but discretionary rebates and discounts are not anticipated because the resulting asset or liability would not satisfy the conditions in the Conceptual Framework for Financial Reporting that an asset must be a resource controlled by the entity as a result of a past event and that a liability must be a present obligation whose settlement is expected to result in an outflow of resources.

Depreciation and amortisation

Depreciation and amortisation for an interim period is based only on assets owned during that interim period. It does not take into account asset acquisitions or dispositions planned for later in the financial year.

Inventories

Inventories are measured for interim financial reporting by the same principles as at financial year-end. Ind AS 2, *Inventories* establishes standards for recognising and measuring inventories. Inventories pose particular problems at the end of any financial reporting period because of the need to determine inventory quantities,

costs, and net realisable values. Nonetheless, the same measurement principles are applied for interim inventories. To save cost and time, entities often

use estimates to measure inventories at interim dates to a greater extent than at the end of annual reporting periods. Following are examples of how to apply the net realisable value test at an interim date and how to treat manufacturing variances at interim dates:

- **Net realisable value of inventories**

The net realisable value of inventories is determined by reference to selling prices and related costs to complete and dispose at interim dates. An entity will reverse a write-down to net realisable value in a subsequent interim period only if it would be appropriate to do so at the end of the financial year.

- **Interim period manufacturing cost variances**

Price, efficiency, spending, and volume variances of a manufacturing entity are recognised in the statement of profit and loss at interim reporting dates to the same extent that those variances are recognised in the statement of profit and loss at financial year-end. Deferral of variances that are expected to be absorbed by year-end is not appropriate because it could result in reporting inventory at the interim date at more or less than its portion of the actual cost of manufacture.

Foreign currency translation gains and losses

Foreign currency translation gains and losses are measured for interim financial reporting by the same principles as at financial year-end.

Ind AS 21, *The Effects of Changes in Foreign Exchange Rates* specifies how to translate the financial statements for foreign operations into the presentation currency, including guidelines for using average or closing foreign exchange rates and guidelines for recognising the resulting adjustments in profit or loss or in other comprehensive income. Consistently with Ind AS 21, the actual average and closing rates for the interim period are used. Entities do not anticipate some future changes in foreign exchange rates in the remainder of the current financial year in translating foreign operations at an interim date.

If Ind AS 21 requires translation adjustments to be recognised as income or expense in the period in which they arise, that principle is applied during each interim period. Entities do not defer some foreign currency translation adjustments at an interim date if the adjustment is expected to reverse before the end of the financial year.

Inventories

Full stock-taking and valuation procedures may not be required for inventories at

interim dates, although it may be done at financial year-end. It may be sufficient to make estimates at interim dates based on sales margins.

Provisions

Determination of an appropriate amount of a provision (such as a provision for warranties, environmental costs, and site restoration costs) may be complex and often costly and time-consuming. Entities sometimes engage outside experts to assist in the annual calculations. Making similar estimates at interim dates often entails updating of the prior annual provision rather than the engaging of outside experts to do a new calculation.

Pensions

Ind AS 19, *Employee Benefits* requires that an entity determine the present value of defined benefit obligations and the market value of plan assets at the end of each reporting period and encourages an entity to involve a professionally qualified actuary in measurement of the obligations. For interim reporting purposes, reliable measurement is often obtainable by extrapolation of the latest actuarial valuation.

Contingencies

The measurement of contingencies may involve the opinions of legal experts or other advisers. Formal reports from independent experts are sometimes obtained with respect to contingencies. Such opinions about litigation, claims, assessments, and other contingencies and uncertainties may or may not also be needed at interim dates.

Inter-company reconciliations

Some inter-company balances that are reconciled on a detailed level in preparing consolidated financial statements at financial year-end might be reconciled at a less detailed level in preparing consolidated financial statements at an interim date.

Illustration 1

Company A has reported ₹ 60,000 as pre tax profit in first quarter and expects a loss of ₹ 15,000 each in the subsequent quarters. It has a corporate tax slab of 20 percent on the first ₹

Solution

Amount of income tax expense reported in each quarter would be as below:

Expected total Income = ₹ 15,000 [60,000 - (15,000 x 3)]

Expected tax as per slabs = 15,000 x 20% = ₹ 3,000

Average Annual Income tax rate = $3,000 / 15,000 = 20\%$

	Q1	Q2	Q3	Q4
Profit / (Loss) before tax	60,000	(15,000)	(15,000)	(15,000)
Tax charge / (credit)	12,000	(3,000)	(3,000)	(3,000)

Illustration 2

ABC Ltd. presents interim financial report quarterly. On 1.4.20X1, ABC Ltd. has carried forward loss of ` 600 lakhs for income-tax purpose for which deferred tax asset has not been recognized. ABC Ltd. earns ` 900 lakhs in each quarter ending on 30.6.20X1, 30.9.20X1, 31.12.20X1 and 31.3.20X2 excluding the carried forward loss. Income-tax rate is expected to be 40%. Calculate

Solution

Amount of income tax expense reported in each quarter would be as below:

The estimated payment of the annual tax on earnings for the current year:

$\text{` } 3,000 \times 40 / 100 = \text{` } 1,200 \text{ lakhs.}$

$\text{*(3,600 lakhs - ` 600 lakhs) = ` 3,000 lakhs}$

Average annual effective tax rate = $(1,200 / 3,600) \times 100 = 33.33\%$

Tax expense to be shown in each quarter = $900 \times 33.33\% = \text{` } 300 \text{ lakhs}$

Illustration 3

Innovative Corporation Private Limited (or "ICPL") is dealing in seasonal product and the sales pattern of the product, quarter wise is as under during

Qtr. I	Qtr. II	Qtr. III	Qtr. IV
ending 30 June	ending 30 September	ending 31 December	ending 31 March
10%	10%	60%	20%

For the first quarter ending on 30 June, 20X1, ICPL has provided the following information :

Particulars	Amounts (in crore)
Sales	70
Employees benefits expenses	25
Administrative and other expenses	12
Finance cost	4

ICPL while preparing interim financial report for first quarter wants to defer ` 16 crores expenditure to third quarter on the argument that third quarter is having more sales therefore third quarter should be debited by more expenditure. Considering the seasonal nature of business and that the expenditures are uniform throughout all quarte`

Calculate the result of first quarter as per Ind AS 34 and comment on the company's view.

Solution

Result of the first quarter ending 30 June

Particulars	Amounts (in crore)
Sales	70
Total Revenue (A)	70
Less: Employees benefits expenses	(25)
Administrative and other expenses	(12)
Finance cost	(4)
Total Expense (B)	(41)
Profit (A-B)	29

Note- As per Ind AS 34, the income and expense should be recognized when they are earned and incurred respectively. Seasonal incomes will be recognized when they occur. Therefore, the argument of ICPL is not correct considering the principles of Ind AS 34.

Illustration 4

Fixed production overheads for the financial year is ` 10,000. Normal expected production for the year, after considering planned maintenance and

the future demand of the product is 2,000 MT. It is considered that there are no quarterly / seasonal variations. Therefore, the normal expected production for each quarter is 500 MT

Actual production achieved	Quantity (In MT)
First quarter	400
Second quarter	600
Third quarter	500
Fourth quarter	400
Total	1,900

Presuming that there are no quarterly / seasonal variation, calculate the allocation of fixed production overheads for all the four quarters as per Ind AS 34 read with Ind AS 2. Will the quarterly results affect the annual results?

Solution

If it is considered that there is no quarterly / seasonal variation, therefore normal expected production for each quarter is 500 MT and fixed production overheads for the quarter are ₹ 2,500.

Fixed production overhead to be allocated per unit of production in every quarter will be ₹ 5 per MT (Fixed overheads / Normal production).

Quarters	Allocations
First Quarter	➤ Actual fixed production overheads = ₹ 2,500 ➤ Fixed production overheads based on the allocation rate of ₹ 5 per unit allocated to actual production = ₹ 5 x 400 = ₹ 2,000 ➤ Unallocated fixed production overheads to be charged as expense as per Ind AS 2 and consequently as per Ind AS 34 = ₹ 500
Second Quarter	➤ Actual fixed production overheads on year-to-date basis = ₹ 5,000 ➤ Fixed production overheads to be absorbed on year-to-date basis = 1,000 x ₹ 5 = ₹ 5,000 ➤ Earlier, ₹ 500 was not allocated to production in the 1st quarter. To give effect to the entire ₹ 5,000 to be allocated in the second quarter, as per Ind AS 34, ₹ 500 are reversed by

	way of a credit to the statement of profit and loss of the 2 nd quarter.
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Third Quarter	➤ Actual production overheads on year-to-date basis = ₹ 7,500 ➤ Fixed production overheads to be allocated on year-to-date basis = $1,500 \times 5 = ₹ 7,500$ ➤ There is no under or over recovery of allocated overheads. Hence, no further action is required.
Fourth Quarter	➤ Actual fixed production overheads on year-to-date basis = ₹ 10,000 ➤ Fixed production overheads to be allocated on year-to-date basis $1,900 \times 5 = ₹ 9,500$ ➤ ₹ 500, i.e., [$₹ 2,500 - (₹ 5 \times 400)$] unallocated fixed production overheads in the 4th quarter, are to be expensed off as per the principles of Ind AS 2 and Ind AS 34 by way of a charge to the statement of profit and loss. ➤ Unallocated productions overheads for the year ₹ 500 (i.e. ₹ 10,000 – ₹ 9,500) are expensed in the Statement of profit and loss as per Ind AS 2.

The cumulative result of all the quarters would also result in unallocated overheads of ₹ 500, thus, meeting the requirements of Ind AS 34 that the quarterly results should not affect the measurement of the annual results.



2.8 RESTATEMENT OF PREVIOUSLY REPORTED INTERIM PERIODS

A change in accounting policy, other than one for which the transition is specified by a new Ind AS, shall be reflected by:

- restating the financial statements of prior interim periods of the current financial year and the comparable interim periods of any prior financial years that will be restated in the annual financial statements in accordance with Ind AS 8; or
- when it is impracticable to determine the cumulative effect at the beginning of the financial year of applying a new accounting policy to all prior periods, adjusting the financial statements of prior interim periods of the

current financial year, and comparable interim periods of prior financial years to apply the new accounting policy prospectively from the earliest date practicable.

Under Ind AS 8, a change in accounting policy is reflected by retrospective application, with

restatement of prior period financial data as far back as is practicable. However, if the cumulative amount of the adjustment relating to prior financial years is impracticable to determine, then under Ind AS 8 the new policy is applied prospectively from the earliest date practicable.

The effect of this alongwith respect to interim periods shall be that within the current financial year any change in accounting policy is applied either retrospectively or, if that is not practicable, prospectively, from no later than the



2.9 INTERIM FINANCIAL REPORTING AND

beginning of the financial year.

An entity is required to assess goodwill for impairment at the end of each reporting period, and, if required, to recognise an impairment loss at that date in accordance with Ind AS 36. However, at the end of a subsequent reporting period, conditions may have so changed that the impairment loss would have been reduced or avoided had the impairment assessment been made only at that date.

Accordingly, an entity shall not reverse an impairment loss recognised in a previous interim period in respect of goodwill.

Illustration 5

ABC Limited manufactures automobile parts. ABC Limited has shown a net profit of ` 20,00,000 for the third quarter of 20X1.

Following adjustments are made while computing the net profit:

- (i) Bad debts of ` 1,00,000 incurred during the quarter. 50% of the bad debts have been deferred to the next quarter.*
- (ii) Additional depreciation of ` 4,50,000 resulting from the change in the method of depreciation.*
- (iii) Exceptional loss of ` 28,000 incurred during the third quarter. 50% of exceptional loss have been deferred to next quarter.*
- (iv) ` 5,00,000 expenditure on account of administrative expenses pertaining to the third quarter is deferred on the argument that the fourth quarter will have more sales; therefore fourth quarter should be debited by higher expenditure. The expenditures are uniform throughout all quarters.*

Ascertain the correct net profit to be shown in the Interim Financial Report of third

Solution

In the instant case, the quarterly net profit has not been correctly stated. As per Ind AS 34, *Interim Financial Reporting*, the quarterly net profit should be adjusted and restated as follows:

- (i) The treatment of bad debts is not correct as the expenses incurred during an interim reporting period should be recognised in the same period. Accordingly, ₹ 50,000 should be deducted from ₹ 20,00,000.
- (ii) Recognising additional depreciation of ₹ 4,50,000 in the same quarter is correct and is in tune with Ind AS 34.
- (iii) Treatment of exceptional loss is not as per the principles of Ind AS 34, as the entire amount of ₹ 28,000 incurred during the third quarter should be recognised in the same quarter. Hence ₹ 14,000 which was deferred should be deducted from the profits of third quarter only.
- (iv) As per Ind AS 34 the income and expense should be recognised when they are earned and incurred respectively. As per para 39 of Ind AS 34, the costs should be anticipated or deferred only when:
 - (i) it is appropriate to anticipate or defer that type of cost at the end of the financial year, and
 - (ii) costs are incurred unevenly during the financial year of an enterprise.

Therefore, the treatment done relating to deferment of ₹ 5,00,000 is not correct as expenditures are uniform throughout all quarters.

Thus considering the above, the correct net profits to be shown in Interim Financial Report of the third quarter shall be ₹ 14,36,000 (₹ 20,00,000 - ₹ 50,000 - ₹ 14,000 - ₹ 5,00,000).



2.10 SIGNIFICANT DIFFERENCES IN IND AS 34 VIS-À-VIS AS 25

S. No.	Particular	Ind AS 34	AS 25
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1.	Disclosures	Ind AS 34 requires disclosure by way of an explanation of events and transactions that are significant to an understanding of the changes	AS 25 does not specifically requires such disclosure.
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		in financial position and performance of the entity since the end of the last annual reporting period.	
2.	<i>Reversal of Impairment Loss</i>	Ind AS 34 prohibits reversal of impairment loss recognised in a previous interim period in respect of goodwill (in harmony with paragraph 124 of Ind AS 36, which prohibits reversal of impairment loss recognised for goodwill in a subsequent period) or an investment in either an equity instrument or a financial asset carried at cost. Ind AS 34 includes Appendix A which addresses the interaction between the requirements of Ind AS 34 and the recognition of impairment losses on goodwill in Ind AS 36 and the effect of that interaction on subsequent interim and annual financial statements	There is no such specific prohibition in the AS 25.
3.	<i>Inclusion of the Parent's Separate Statements and the Consolidated Financial Statements in the Entity's Interim Report</i>	Ind AS 34 states that it neither requires nor prohibits the inclusion of the parent's separate statements in the entity's interim report if an entity's annual financial report included the parent's separate financial statements in addition to consolidated financial statements.	Under AS 25, if an entity's annual financial report included the consolidated financial statements in addition to the separate financial statements, the interim financial report should include both the consolidated financial statements and separate financial statements, complete or condensed.

4.	<i>Accounting Policies</i>	Ind AS 34 additionally requires the information in respect of methods of computation followed.	AS 25 requires the Notes to interim financial statements, (if material and not disclosed elsewhere in the interim financial report), to contain a statement that the same accounting policies are followed in the interim financial statements as
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			those followed in the most recent annual financial statements or, in case of change in those policies, a description of the nature and effect of the change.
5.	<i>Contingent Liabilities and Contingent Assets</i>	Ind AS 34 requires furnishing of information on both contingent liabilities and contingent assets, if they are significant.	AS 25 requires furnishing of information on contingent liabilities only.
6.	<i>Interim Financial Statements prepared on Complete Basis</i>	Ind AS 34 requires that, where an interim financial report has been prepared in accordance with the requirements of Ind AS 34, that fact should be disclosed. Further, an interim financial report should not be described as complying with Ind AS unless it complies with all of the requirements of Ind AS. (The latter statement is applicable when interim financial statements are prepared on complete basis instead of 'condensed basis').	AS 25 does not contain these requirements.
7.	<i>Transitional provision</i>	Ind AS 34 does not have this transitional provision.	Under AS 25, when an interim financial report is presented for the first time in accordance with that Standard, an entity need not present, in respect of all the interim periods of the current financial year, comparative statements of profit and loss for the comparable interim periods (current and year-to-date) of the immediately preceding financial year and comparative cash flow statement for the comparable year-to-date period of the immediately

			preceding financial year.
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FOR SHORTCUT TO IND AS WISDOM: SCAN ME!



TEST YOUR KNOWLEDGE

Questions

1. The entity's financial year ends on 31st March. What are the "reporting periods" for which financial statements (condensed or complete) in the interim financial report of the entity as on 30th September, 20X1 are required to be presented, if:

- (i) Entity publishes interim financial reports quarterly
- (ii) Entity publishes interim financial reports half-yearly.

2. Narayan Ltd. provides you the following information and asks you to calculate the tax expense for each quarter, assuming that there is no difference between the estimated taxable income and the estimated accounting income:

Estimated Gross Annual Income

33,00,000 (inclusive of Estimated Capital Gains of ₹ 8,00,000)

Estimated Income of Quarter I is ₹ 7,00,000, Quarter II is ₹ 8,00,000, Quarter III (including Estimated Capital Gains of ₹ 8,00,000) is ₹ 12,00,000 and Quarter IV is ₹ 6,00,000.

Tax Rates: On Capital Gains

12% On Other Income: First ₹ 5,00,000

30%

Balance Income

40%

3. An entity reports quarterly, earns ` 1,50,000 pre-tax profit in the first quarter but expects to incur losses of ` 50,000 in each of the three remaining quarters. The entity operates in a jurisdiction in which its estimated average annual income tax rate is 30%.

The management believes that since the entity has zero income for the year, its income- tax expense for the year will be zero. State whether the management's views are correct or not? If not, then calculate the tax expense for each quarter as well as for the year as per Ind AS 34.

4. Due to decline in market price in second quarter, Happy India Ltd. incurred an inventory loss. The Market price is expected to return to previous levels by the end of the year. At the end of year, the decline had not reversed. When should the loss be reported in interim statement of profit and loss of Happy India Ltd.?

Answers

1. Paragraph 20 of Ind AS 34, Interim Financial Reporting states as follows:

“Interim reports shall include interim financial statements (condensed or complete) for periods as follows:

- a) balance sheet as of the end of the current interim period and a comparative balance sheet as of the end of the immediately preceding financial year.
- b) statements of profit and loss for the current interim period and cumulatively for the current financial year to date, with comparative statements of profit and loss for the comparable interim periods (current and year-to-date) of the immediately preceding financial year.
- c) statement of changes in equity cumulatively for the current financial year to date, with a comparative statement for the comparable year-to-date period of the immediately preceding financial year.
- d) statement of cash flows cumulatively for the current financial year to date, with a comparative statement for the comparable year-to-date period of the immediately preceding financial year.

Accordingly, periods for which interim financial statements are required to be presented are provided herein below:

- (i) Entity publishes interim financial reports quarterly

The entity will present the following financial statements (condensed or complete) in its interim financial report of 30th September, 20X1:

Balance sheet at	30th September 20X1	31st March 20X1	-	-
Statement of profit and loss for	3 months ended 30 th September 20X1	3 months ended 30 th September 20X0	6 months ended 30 th September 20X1	6 months ended 30 th September 20X0
Statement of changes in equity for	6 months ended 30 th September 20X1	6 months ended 30 th September 20X0		
Statement of cash flows for	6 months ended 30 th September 20X1	6 months ended 30 th September 20X0	-	-

(ii) **Entity publishes interim financial reports half-yearly**

The entity's financial year ends 31st March. The entity will present the following financial statements (condensed or complete) in its half-yearly interim financial report of 30th September, 20X1:

Balance sheet at	30th September, 20X1	31st March, 20X1
Statement of profit and loss for	6 months ending 30 th September, 20X1	6 months ending 30 th September, 20X0
Statement of changes in equity for	6 months ending 30 th September 20X1	6 months ending 30 th September 20X0
Statement of cash flows for	6 months ending 30 th September 20X1	6 months ending 30 th September 20X0

- As per para 30(c) of Ind AS 34 'Interim Financial Reporting', income tax expense is recognised in each interim period based on the best estimate of the weighted average annual income tax rate expected for the full financial year.

If different income tax rates apply to different categories of income (such as capital gains or income earned in particular industries) to the extent practicable, a separate rate is applied to each individual category of interim

period pre-tax income.

Estimated annual income exclusive of estimated capital gain (33,00,000 – 8,00,000)	<u>25,00,000</u>
(A)	
Tax expense on other income:	

30% on ` 5,00,000	1,50,000
40% on remaining ` 20,00,000	<u>8,00,000</u>
(B)	<u>9,50,000</u>
Weighted average annual income tax rate = $\frac{B}{A} = \frac{9,50,000}{25,00,000}$	
● 38%	
A 25,00,000	

Tax expense to be recognised in each of the quarterly reports

		`
Quarter I - ` 7,00,000 x 38%		2,66,000
Quarter II - ` 8,00,000 x 38%		3,04,000
Quarter III - `(12,00,000 - 8,00,000) x 38%	1,52,000	
` 8,00,000 x 12%	<u>96,000</u>	2,48,000
Quarter IV - ` 6,00,000 x 38%		<u>2,28,000</u>
		<u>10,46,000</u>

3. As illustrated in para 30 (c) of Ind AS 34 'Interim financial reporting', income tax expense is **recognised in each interim period** based on the best estimate of the weighted average annual income tax rate expected for the full financial year.

Accordingly, the management's contention that since the net income for the year will be zero no income tax expense shall be charged quarterly in the interim financial report, is not correct. Since the effective tax rate or average annual income tax rate is already given in the question as 30%, the income tax expense will be recognised in each interim quarter based on this rate only. The following table shows the correct income tax expense to be reported each quarter in accordance with Ind AS 34:

Period	Pre-tax earnings (in `)	Effective tax rate	Tax expense (in `)
First Quarter	1,50,000	30%	45,000
Second Quarter	(50,000)	30%	(15,000)
Third Quarter	(50,000)	30%	(15,000)
Fourth Quarter	(50,000)	30%	(15,000)
Annual	0		0

4. Loss should be recognised in the second quarter of the year.